

THE SESSION · POST-CLOSE READ

Inflation Cools, Yields Hold Firm

The August PCE report came in cooler than expected, with core inflation at 3.0% against a 3.3% forecast, but Treasury yields rose and the S&P 500 slipped 0.23%, closing September lower. Dividend Strategy -0.91% trailed DVY and SPY; Growth Portfolio -0.46% trailed IUSG.

S&P 500 ▼ 0.23%

NASDAQ ▲ 0.24%

DOW ▼ 0.86%

VIX 16.3

BRENT ▲ \$98

DIVIDEND STRATEGY

▼ TRAILED DVY + SPY

-0.91%

1-DAY



YTD +15.40% vs DVY +10.33% · SPY +12.69%

GROWTH PORTFOLIO

▼ TRAILED IUSG

-0.46%

1-DAY



YTD +20.91% vs IUSG +15.79%

THE SESSION

A cooler-than-expected August inflation report lifted stocks early, but Treasury yields rose through the afternoon and the S&P 500 gave back its gains to close lower, finishing September with a monthly decline. The S&P 500 slipped 0.23%, or 17 points, to 7,654, and the Dow fell 0.86%, or 444 points, to 50,906, while the Nasdaq held a 0.24% gain at 26,861. The personal consumption expenditures price index rose 3.4% from a year earlier against expectations of 3.7%, and core PCE rose 3.0% against 3.3% expected, up 0.2% for the month. ADP reported 90,000 private-sector jobs added in September, above the Dow Jones consensus of 68,000. Futures-implied odds of an October rate increase fell after the report, yet the 10-year Treasury yield still rose about three basis points to roughly 5.29% and the 30-year to about 5.63%. Brent's December contract rose about 2% to roughly \$98 a barrel, and the VIX ended near 16.3. Caterpillar, a Dividend Strategy holding, was among the

heavier weights on the price-weighted Dow. Micron reports after the close, and Friday's September payrolls report is the next test for the rate outlook.

The Dividend Strategy declined 0.91%, trailing DVY's 0.72% decline by 0.19 point and SPY's 0.23% by 0.68 point, with three of twenty-five holdings higher. Constellation Energy was the largest drag, subtracting about 0.26 point as the shares fell 3.99% to \$254.02, reversing Tuesday's gain, while Vistra in the Growth Portfolio declined 1.76%. Abbott declined 2.10% to \$98.83, Caterpillar 1.92% to \$810.79, Old Republic 1.94% and PACCAR 1.78%, and ADP slipped 1.43% to \$258.06. The consumer staples holdings eased as well, with Colgate-Palmolive -1.32% and Church & Dwight -0.76%. Lam Research led for a second session, rising 1.44% to \$328.51, with S&P Global +0.51% and Quest Diagnostics +0.47%.

Inflation cooled and long-term yields rose in the same session. Our work is to know what each business earns through both, not to trade the day's rate read.

The Growth Portfolio declined 0.46% while IUSG slipped 0.06%, trailing by 0.40 point, with nine of twenty-five holdings higher. Hut 8 was the largest drag, falling 7.28% to \$86.10 and subtracting about 0.18 point after a Form 144 notice covering 1.5 million shares tied to an executive's prepaid forward contract, which the company said did not reflect an open-market sale, and after bankrupt miner Poolin said it would redo the sale process for Texas data-center properties on which Hut 8 had bid. MARA fell 5.50% alongside it while bitcoin held steady, and Robinhood declined 3.20% to \$112.50 following its HOOD Summit

product announcements. Freeport-McMoRan (-1.13%) and Agnico Eagle (-1.38%) also weighed. ServiceNow led, rising 3.13% to \$134.01 and adding about 0.29 point as software shares firmed, with Fortinet +1.59%, Credo +1.27%, Keysight +0.94%, AMD +0.69% and NVIDIA +0.51%. IBIT was little changed at +0.02% and ETHA declined 0.79%. On the year, the Dividend Strategy stands at +15.40% against DVY's +10.33%, a +5.07-point spread, with SPY at +12.69%; the Growth Portfolio stands at +20.91% against IUSG's +15.79%, a +5.12-point spread.

FCI HOLDINGS · NOTABLE MOVERS

WINNERS

NOW +3.13%

GROWTH

Rose to \$134.01, the Growth Portfolio's largest contributor, as software shares firmed.

FTNT +1.59%

GROWTH

Closed at \$178.76; no company-specific news identified.

LRCX +1.44%

DIVIDEND

Closed at \$328.51, the Dividend Strategy's strongest performer for a second session; no company-specific news identified.

CRDO +1.27%

GROWTH

Closed at \$194.79; no company-specific news identified.

DECLINERS

HUT -7.28%

GROWTH

Fell to \$86.10 on an executive's Form 144 notice, which the company said was not an open-market sale, and Poolin's plan to redo a Texas property sale Hut 8 had bid on.

MARA -5.50%

GROWTH

Declined to \$11.33 alongside Hut 8 while bitcoin held steady; no company-specific news identified.

CEG -3.99%

DIVIDEND

Fell to \$254.02, reversing Tuesday's 1.59% gain; Vistra declined 1.76%.

HOOD -3.20%

GROWTH

Fell to \$112.50 following the product announcements at its HOOD Summit.

YEAR-TO-DATE STANDING

DIVIDEND STRATEGY

+15.40%

vs DVY +10.33% / SPY +12.69%

Spread vs DVY +5.07 pts

GROWTH PORTFOLIO

+20.91%

vs IUSG +15.79%

Spread vs IUSG +5.12 pts